

The Rental Property Bookkeeping Checklist

A portfolio that cash flows overall can still hold a property that is bleeding. This is the routine two CPAs use to keep investor books clean enough to tell the difference, and to keep the classifications that cost real money from going wrong.

Set it up once, per property

- ☐ Every property exists separately in your books, as a class, location or tag. Not one lump called Rental Income.
- ☐ One bank account per entity at minimum. Per property is better if you can stand the admin.
- ☐ The purchase is recorded properly: land split from building, closing costs allocated, loan recorded as a liability rather than an expense.
- ☐ A depreciation schedule exists and someone can produce it on request.
- ☐ Each mortgage is split into principal, interest and escrow, not posted as one payment.
- ☐ Security deposits sit in a liability account, never in income.

Every month

- ☐ Every bank and credit card account reconciled to the statement, not to a feed.
- ☐ Rent matched to the property that produced it, including partial months and prorations.
- ☐ Owner contributions and draws recorded as equity, never as income or expense.
- ☐ Repairs coded against the specific property, with a note on what the work was.
- ☐ Management fees, HOA, insurance and property tax landed on the right door.
- ☐ Any transfer between your own accounts recorded as a transfer, so it is not counted twice.

The classification that costs the most

Repair or improvement. It decides whether a cost comes off this year or over decades, and it is the single most common thing investors get wrong.

- ☐ Fixing what broke, keeping the property in the condition it was already in: usually a repair.
- ☐ Betterment, restoration, or adapting the property to a new use: usually an improvement, and depreciated.
- ☐ A whole roof, a new HVAC system, a gut renovation: almost never a simple repair.
- ☐ Anything ambiguous gets flagged while you still remember the job, not reconstructed in March.

Why it matters: two identical \$9,000 invoices can produce very different tax outcomes depending on which side of that line they fall. Guessing in either direction is expensive, in tax or in exposure.

Quarterly

- ☐ Profit and loss run **per property**, not just portfolio-wide. This is the whole point.
- ☐ Cash reserve checked against what the roofs and HVAC units are actually going to need.
- ☐ Estimated taxes reviewed against where the year is actually landing.
- ☐ Every property compared against its own last quarter. A door that quietly slid is easier to fix in month four than month eleven.

Once a year

- ☐ 1099-NEC issued to any unincorporated contractor you paid \$600 or more. Collect the W-9 before you pay them, not in January.
- ☐ Depreciation schedule updated for anything added, improved or disposed of.
- ☐ Any property sold, refinanced or exchanged handled deliberately, with the numbers assembled before the return is started.
- ☐ Books closed and locked once the return is filed, so last year stops moving.

Six red flags

- ☐ You cannot say which single property made the most money last year.
- ☐ Rent and security deposits live in the same account and the same category.
- ☐ Mortgage payments are posted as one expense line.
- ☐ Nobody can produce a depreciation schedule without calling someone.
- ☐ Repairs and improvements are one category.
- ☐ Your CPA sees the year for the first time in March.

The number worth knowing: most investors can quote their portfolio's gross rent from memory. Far fewer can name their worst-performing door. If that is you, the books are reporting, not informing.

When a checklist is not enough.

Our In-Depth Diagnostic Review puts two licensed CPAs inside your actual books: a written findings report and a recorded walkthrough of what is really there. \$497, credited toward your first month. smokymtncpas.com/diagnostic